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FIVE YEAR PLANS (1951–2017)

Introduction

Economic Planning refers to the systematic and efficient utilization of a country's available resources to achieve long-term economic development. In India, Five Year Plans were introduced to promote balanced growth in agriculture, industry, employment, infrastructure, and social welfare.

India adopted the concept of Five Year Planning from the **Soviet Union (USSR)**. The idea was strongly influenced by the socialist vision of India's first Prime Minister, **Pandit Jawaharlal Nehru**.

Historical Background

Year	Important Event
1934	Sir M. Visvesvaraya proposed the idea of Economic Planning in his book Planned Economy for India .
1944	Eight leading Indian industrialists presented the Bombay Plan .
1944	Shriman Narayan proposed the Gandhian Plan, while M. N. Roy proposed the People's Plan.
26 January 1950	The Constitution of India came into force.
15 March 1950	The Planning Commission was established.
1 April 1951	The First Five Year Plan was launched.
1 January 2015	The Planning Commission was replaced by NITI Aayog .

Planning Commission

Established: 15 March 1950

Chairman: Prime Minister of India

Functions

- Formulate Five Year Plans.
- Ensure efficient utilization of national resources.
- Prepare policies for economic development.
- Coordinate development programmes between the Central and State Governments.

NITI Aayog

Established: 1 January 2015

NITI Aayog replaced the Planning Commission as the premier policy think tank of the Government of India.

Major Policy Documents

- 3-Year Action Agenda
- 7-Year Strategy Paper
- 15-Year Vision Document

Five Year Plans

First Five Year Plan (1951–1956)

Model

Harrod-Domar Model

Priority

Agriculture and Irrigation

Major Highlights

- Highest priority was given to agriculture.
- Community Development Programme was launched.
- Bhakra Nangal Project was initiated.

- Damodar Valley Project was developed.
- Beas Project was started.
- Establishment of the first Indian Institutes of Technology (IITs).

Examination Point

The First Five Year Plan primarily focused on **agricultural development**.

Second Five Year Plan (1956–1961)

Model

Mahalanobis Model

Priority

Heavy Industries

Major Highlights

Three major steel plants were established.



Steel Plant	Foreign Assistance	State
Bhilai	Soviet Union (USSR)	Chhattisgarh (Present)
Durgapur	United Kingdom	West Bengal
Rourkela	Germany	Odisha

- Industrial Policy Resolution, 1956 was implemented.
- The Socialistic Pattern of Society became the objective of economic policy.

Examination Point

The Second Plan is popularly known as the **Heavy Industry Plan**.

Third Five Year Plan (1961–1966)

Model

Chakravarty Model

Objective

Self-Reliant Economy

Major Highlights

- Green Revolution was initiated.
- Bokaro Steel Plant was established with Soviet assistance.
- Panchayati Raj Institutions were strengthened.

Reasons for Failure

- Sino-India War (1962)
- Indo-Pak War (1965)
- Severe droughts

First Plan Holiday (1966–1969)

Three Annual Plans were implemented during this period.

Major Highlights

- Introduction of High Yielding Variety (HYV) Seeds
- Expansion of irrigation facilities
- Extensive use of fertilizers
- Soil conservation programmes

Fourth Five Year Plan (1969–1974)

Model

Ashok Rudra–Alan Manne Model

Theme

Growth with Stability and Progressive Achievement of Self-Reliance

Major Highlights

- Nationalisation of 14 major commercial banks (1969).
- Green Revolution achieved significant success.

Fifth Five Year Plan (1974–1979)

Theme

Garibi Hatao (Removal of Poverty)

Major Highlights

- Minimum Needs Programme (MNP) was introduced.
- MNP was prepared by **D. P. Dhar**.
- The plan was terminated one year earlier by the Janata Government.

Rolling Plan (1978–1980)

Proposed By

Gunnar Myrdal

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Features

- The plan was reviewed annually.
- Targets and budget allocations were revised every year.
- This period is also known as the **Second Plan Holiday**.

Sixth Five Year Plan (1980–1985)

Major Highlights

- Emphasis on Family Planning.
- Focus on poverty alleviation and employment generation.
- NABARD was established in **1982**.
- NABARD was set up on the recommendation of the **Shivaraman Committee**.

Seventh Five Year Plan (1985–1990)

Theme

Food, Work and Productivity

Major Highlights

- Achieved nearly 6% annual growth.
- Considered successful despite consecutive droughts during the initial years.

Third Plan Holiday (1990–1992)

Two Annual Plans were implemented due to economic and political instability.

Reasons

- Political instability
- Balance of Payments Crisis
- Foreign Exchange Crisis

Major Event

The **LPG Reforms** were introduced in **1991**.

LPG stands for:

- Liberalisation
- Privatisation

- Globalisation

Prime Minister: P. V. Narasimha Rao

Finance Minister: Dr. Manmohan Singh

Eighth Five Year Plan (1992–1997)

Major Focus

- Human Development
- Industrial Modernisation
- Employment Generation
- Promotion of MSMEs

Ninth Five Year Plan (1997–2002)

Theme

Growth with Social Justice and Equality

Major Focus

- Agriculture
- Rural Development
- Poverty Reduction

Note: From the Ninth Plan onwards, the role of the Government shifted from being a **Producer** to a **Facilitator**.

Tenth Five Year Plan (2002–2007)

Target

8% GDP Growth Rate

Major Initiative

PURA (Providing Urban Amenities in Rural Areas)

Proposed by: Dr. A. P. J. Abdul Kalam

Eleventh Five Year Plan (2007–2012)

Theme

Rapid and More Inclusive Growth

Prepared By

Dr. C. Rangarajan

Major Achievement

- Average annual GDP growth of around 8%.
- Widely regarded as one of India's most successful Five Year Plans.

Twelfth Five Year Plan (2012–2017)

Theme

Faster, More Inclusive and Sustainable Growth

This was the **last Five Year Plan** of India.

Plan Holidays at a Glance

Period	Type
1966–1969	First Plan Holiday (Three Annual Plans)
1978–1980	Rolling Plan
1990–1992	Third Plan Holiday (Two Annual Plans)

Important Models

Plan	Model
First	Harrod-Domar Model

Second	Mahalanobis Model
Third	Chakravarty Model
Fourth	Ashok Rudra–Alan Manne Model

Most Important Examination Points

- India adopted the concept of Five Year Planning from the Soviet Union.
- The Planning Commission was established on **15 March 1950**.
- The Prime Minister served as the Chairman of the Planning Commission.
- The First Five Year Plan was launched on **1 April 1951**.
- The First Plan focused on agriculture.
- The Second Plan emphasized heavy industries.
- The Green Revolution began during the Third Plan.
- Fourteen major commercial banks were nationalised during the Fourth Plan.
- The Fifth Plan is associated with the slogan **Garibi Hatao**.
- The Rolling Plan was proposed by **Gunnar Myrdal**.
- NABARD was established in **1982**.
- LPG Reforms were introduced in **1991**.
- PURA was proposed by **Dr. A. P. J. Abdul Kalam**.
- The Twelfth Plan was India's final Five Year Plan.
- The Planning Commission was replaced by **NITI Aayog** in **2015**.

Quick Revision

Plan	Remember
First	Agriculture
Second	Heavy Industries
Third	Green Revolution
Fourth	Bank Nationalisation
Fifth	Garibi Hatao
Sixth	NABARD
Seventh	Food, Work and Productivity
Eighth	Human Development
Ninth	Social Justice
Tenth	PURA
Eleventh	Inclusive Growth
Twelfth	Sustainable Growth

Exam Tip: For Punjab Police, PSSSB, SSC, UPSC, Banking, and other competitive examinations, focus on **Models, Themes, Plan Holidays, Green Revolution, LPG Reforms, NABARD, NITI Aayog, Steel Plants, and other major events**, as these areas are frequently tested.

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